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Dr. Profit and loss account for the year ended 31st December, 2016 Cr.

Particulars	`	`	Particulars	`	`
To Provision for bad and doubtful debts (closing)	1,000				
Add: Bad debts	1,800				
	2,800				
Less: Provision for bad and doubtful debts (opening)	1,500	1,300			
To Provision for discount(closing)	380				
Add: Discount allowed	600				
	980				
Less: Provision for discount (opening)	500	480			

Balance Sheet as on 31st December, 2016

Liabilities	`	`	Assets	`	`
			Sundry debtors	20,000	
			Less: Provision for bad and doubtful debts	1,000	
				19,000	
			Less: Provision for discount on debtors	380	18,620

13.3 Summary of adjusting entries and accounting treatment of adjustments

Sl.No.	Adjustment	Journal entry	Treatment in	
			Trading A/c or P & L A/c	Balance Sheet
1	Closing stock	Stock in trade A/c Dr. To Trading A/c	Shown on the credit side of the trading A/c.	Shown on the assets side as a current asset.
2	Outstanding expenses	Concerned expense A/c Dr. To Outstanding expense A/c	Added to the concerned expense on the debit side of trading account if direct expense and profit and loss account if indirect expense.	Shown on the liabilities side as a current liability.
3	Prepaid expenses	Prepaid expense A/c Dr. To Concerned expense A/c	Deducted from the concerned expense on the debit side. of trading account if direct expense and profit and loss account if indirect expense.	Shown on the assets side as a current asset.